

| <b>MINDTECK (INDIA) LIMITED</b><br><b>16/3, CAMBRIDGE ROAD, ULSOOR, BANGALORE 560 008</b><br><b>AUDITED CONSOLIDATED FINANCIAL RESULTS FOR THE YEAR ENDED MARCH 31, 2011</b><br><i>(Rs in lacs, except as otherwise stated)</i> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                 |               |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|---------------|
| Particulars                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Year to date    | Year to date  |
|                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 31-Mar-2011     | 31-Mar-2010   |
|                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Audited         | Audited       |
| 1                                                                                                                                                                                                                               | <b>Income from operations</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 24,086.70       | 22,654.01     |
| 2                                                                                                                                                                                                                               | Foreign exchange gain, net                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 36.28           | -             |
| 3                                                                                                                                                                                                                               | Expenditure                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                 |               |
|                                                                                                                                                                                                                                 | a) Employees cost                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 20,313.55       | 18,934.44     |
|                                                                                                                                                                                                                                 | b) Depreciation including amortisation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 238.47          | 405.66        |
|                                                                                                                                                                                                                                 | c) Rent (Note 3)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 719.95          | 769.25        |
|                                                                                                                                                                                                                                 | d) Foreign exchange loss, net                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | -               | 235.95        |
|                                                                                                                                                                                                                                 | e) Other expenditure                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 1,968.71        | 1,743.73      |
|                                                                                                                                                                                                                                 | f) Total                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 23,240.68       | 22,089.03     |
| 4                                                                                                                                                                                                                               | <b>Profit from operations before other income, interest and exceptional items (1 + 2 - 3)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | <b>882.30</b>   | <b>564.98</b> |
| 5                                                                                                                                                                                                                               | Other income (Note 4)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 293.58          | 81.92         |
| 6                                                                                                                                                                                                                               | <b>Profit before interest and exceptional items (4 + 5)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | <b>1,175.88</b> | <b>646.90</b> |
| 7                                                                                                                                                                                                                               | Interest                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 37.52           | 71.32         |
| 8                                                                                                                                                                                                                               | <b>Profit after interest but before exceptional items (6 - 7)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | <b>1,138.36</b> | <b>575.58</b> |
| 9                                                                                                                                                                                                                               | Exceptional items                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                 |               |
| 10                                                                                                                                                                                                                              | <b>Profit from ordinary activities before tax (8 + 9)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | <b>1,138.36</b> | <b>575.58</b> |
| 11                                                                                                                                                                                                                              | Tax expense                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                 |               |
|                                                                                                                                                                                                                                 | - Current tax                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 389.28          | 230.93        |
|                                                                                                                                                                                                                                 | - MAT credit entitlement for earlier years (Note 5)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | (107.16)        | -             |
|                                                                                                                                                                                                                                 | - Deferred tax (Note 5)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | (58.16)         | 9.47          |
| 12                                                                                                                                                                                                                              | <b>Net profit from ordinary activities after tax (10 - 11)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | <b>914.40</b>   | <b>335.18</b> |
| 13                                                                                                                                                                                                                              | Extraordinary items                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                 |               |
| 14                                                                                                                                                                                                                              | <b>Net profit for the year (12 - 13)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | <b>914.40</b>   | <b>335.18</b> |
| 15                                                                                                                                                                                                                              | Paid-up equity share capital (face value of Rs. 10 each) (Note 6)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 2,434.96        | 2,434.86      |
| 16                                                                                                                                                                                                                              | Reserves                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 10,183.69       | 9,206.57      |
| 17                                                                                                                                                                                                                              | Earnings per share (EPS) (Note 6)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                 |               |
|                                                                                                                                                                                                                                 | Basic EPS (in Rs.)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 3.76            | 1.38          |
|                                                                                                                                                                                                                                 | Diluted EPS (in Rs.)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 3.71            | 1.36          |
| 18                                                                                                                                                                                                                              | Public shareholding (Note 6)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                 |               |
|                                                                                                                                                                                                                                 | Number of shares                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 85,95,736       | 85,94,736     |
|                                                                                                                                                                                                                                 | Percentage of shareholding                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 34.71           | 34.71         |
| 19                                                                                                                                                                                                                              | Promoters and promoter group shareholding                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                 |               |
|                                                                                                                                                                                                                                 | a) Pledged/Encumbered                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                 |               |
|                                                                                                                                                                                                                                 | - Number of shares                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Nil             | Nil           |
|                                                                                                                                                                                                                                 | - Percentage of shares (as a % of the total shareholding of promoter and promoter group)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Nil             | Nil           |
|                                                                                                                                                                                                                                 | - Percentage of shares (as a % of the total share capital of the company)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Nil             | Nil           |
|                                                                                                                                                                                                                                 | b) Non-encumbered (Note 6)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                 |               |
|                                                                                                                                                                                                                                 | - Number of shares                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,61,69,857     | 1,61,69,857   |
|                                                                                                                                                                                                                                 | - Percentage of shares (as a % of the total shareholding of promoter and promoter group)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 100.00          | 100.00        |
|                                                                                                                                                                                                                                 | - Percentage of shares (as a % of the total share capital of the company)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 65.29           | 65.29         |
| <b>Notes to consolidated financial results for the year ended March 31, 2011</b>                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                 |               |
| 1                                                                                                                                                                                                                               | The above audited consolidated financial results of the Company have been reviewed by the Audit Committee and thereafter approved by the Board of Directors in their meeting held on May 13, 2011. The Company's Statutory Auditors have carried out the audit of the consolidated financial results for the year ended March 31, 2011, pursuant to Clause 41 of the Listing Agreement.                                                                                                                                                                                          |                 |               |
| 2                                                                                                                                                                                                                               | The above audited consolidated financial results of the Company include the financial results of its wholly owned subsidiaries (including step subsidiaries)- Mindteck Inc., Mindteck Singapore Pte Ltd., Mindteck UK Ltd., Mindteck Netherlands B.V., Mindteck Germany GmbH, Mindteck Middle East Ltd. SPC., Mindteck Software Malaysia Sdn Bhd and Chendle Holdings Ltd.                                                                                                                                                                                                       |                 |               |
| 3                                                                                                                                                                                                                               | The Company has taken certain premises on lease for its operations. Out of these premises, the Company had subleased its premises at Cyber Park, Electronic City, Bangalore and Cerritos, USA. During the third quarter, the Company has vacated these premises and consequently terminated the sublease agreement with effect from October 1, 2010. Rental income aggregating Rs 151.53 lacs represent the income for six months ended September 30, 2010 (Year ended March 31, 2010: Rs 298.97 lacs) which has been reduced from the rent disclosed in those relevant periods. |                 |               |
| 4                                                                                                                                                                                                                               | Other income for the year ended March 31, 2011 includes Rs 127.05 lacs on account of write back of liability towards a legal claim, no longer required, pursuant to adjudication in favour of the Company. Further, it also includes a write back of tax payable in a foreign jurisdiction aggregating Rs 69.95 lacs which is relating to earlier periods.                                                                                                                                                                                                                       |                 |               |
| 5                                                                                                                                                                                                                               | During the year, the Company has recognized the MAT credit asset of earlier years aggregating to Rs 107.16 lacs as the Company meets the recognition criteria in a view of availability of sufficient taxable income. Further, the Company has utilized its carry forward business loss and meets the criteria for the recognition of a deferred tax asset and accordingly recognised the deferred tax asset aggregating to Rs 29.93 lacs.                                                                                                                                       |                 |               |

- 6 The Company has consolidated the financial statements of the Mindteck Employees Welfare Trust ('the Trust') with that of its standalone financial statements to comply with the requirements of SEBI (ESOS and ESPS) Guidelines 1999. As a result, the Company's paid up equity shares stand reduced by 416,000 shares as on March 31, 2011. To give effect to the consolidation of the Trust, Rs 41.6 lacs has been reduced from equity share capital, Rs 362.4 lacs has been reduced from securities premium account and Rs 15.83 lacs has been adjusted in reserves. The shares held by the Trust were reduced from outstanding number of shares for computation of basic and diluted EPS of the Company. However, these shares have been included in public share holding in the above statement.

## 7 Audited Financial Results (Standalone information)

(Rs in lacs, except as otherwise stated)

| Particulars                             | Year to date | Year to date |
|-----------------------------------------|--------------|--------------|
|                                         | 31-Mar-2011  | 31-Mar-2010  |
|                                         | Audited      | Audited      |
| Revenues                                | 5,420.95     | 4,595.33     |
| Profit before tax and exceptional items | 587.35       | 233.63       |
| Profit after tax and exceptional items  | 572.22       | 182.65       |

## 8 Segmental reporting (Consolidated - audited)

The Mindteck Group's operations predominantly relate to providing software services to external customers and providing IT-enabled services to consolidated subsidiaries within the Group. The Group considers business segment as the primary segment and geographical segment based on the location of customers as the secondary segment.

Since IT-enabled services are rendered to subsidiaries which are consolidated, the disclosure of a separate IT-enabled services segment as a separate primary segment is not applicable. The group is therefore considered to constitute a single primary business segment and accordingly segment disclosures have been presented as under:

The accounting principles consistently used in the preparation of the consolidated financial statements are also consistently applied to record income and expenditure in the individual segments.

(Rs in lacs, except as otherwise stated)

| Revenue             | Year to date     | Year to date     |
|---------------------|------------------|------------------|
|                     | 31-Mar-2011      | 31-Mar-2010      |
|                     | Audited          | Audited          |
| - USA               | 20,697.36        | 19,925.47        |
| - India             | 141.08           | 5.24             |
| - Rest of the world | 3,248.26         | 2,723.30         |
| <b>Total</b>        | <b>24,086.70</b> | <b>22,654.01</b> |

## 9 Information on investor complaints pursuant to Clause 41 of the Listing Agreement for the quarter ended March 31, 2011:

| Nature of Investor complaints                     | Opening balance | Additions | Disposal | Closing balance |
|---------------------------------------------------|-----------------|-----------|----------|-----------------|
| Non-receipt of dividend warrant and annual report | -               | 1         | 1        | -               |
| Non-receipt of annual report                      | -               | 1         | 1        | -               |

## 10 Statement of assets and liabilities as at 31 March 2011 is given below:

| Particulars                                       | As at            | As at            |
|---------------------------------------------------|------------------|------------------|
|                                                   | 31-Mar-2011      | 31-Mar-2010      |
|                                                   | Audited          | Audited          |
| Shareholders' fund                                |                  |                  |
| a) Share capital                                  | 2,434.96         | 2,434.86         |
| b) Equity share capital reserved for issuance     | 198.60           | 198.60           |
| c) Reserves and surplus                           | 10,183.69        | 9,206.57         |
| Loan Funds                                        | 28.49            | 215.92           |
| <b>Total</b>                                      | <b>12,845.74</b> | <b>12,055.95</b> |
| Fixed assets (including capital work in progress) | 365.52           | 537.72           |
| Goodwill                                          | 8,673.08         | 8,653.42         |
| Deferred tax asset, net                           | 206.46           | 148.30           |
| Current assets, loans and advances                |                  |                  |
| a) Sundry debtors                                 | 3,950.33         | 3,567.47         |
| b) Cash and bank balances                         | 607.54           | 498.76           |
| c) Loans and advances                             | 2,257.45         | 1,864.19         |
| Less: Current liabilities & provisions            |                  |                  |
| a) Liabilities                                    | 2,368.60         | 2,644.38         |
| b) Provisions                                     | 846.04           | 569.53           |
| <b>Total</b>                                      | <b>12,845.74</b> | <b>12,055.95</b> |

## 11 Previous period figures have been reclassified/ regrouped wherever necessary.

For and on behalf of the Board of Directors,

Sd/-  
Pankaj Agarwal  
Managing Director & CEO

Place : Bangalore  
Date : May 13, 2011